

UVIG

Sector Report: Transportation

Kavin Bawa, Émilie Doyon, Jonathan Khoo & Peter Mikulash

November, 2025

Sector Overview

The transportation sector is responsible for moving people and goods using four main modes: land, air, sea, and rail. It encompasses key sub-industries including land transport (trucking and passenger vehicles), rail transport (freight and passenger trains), air transport (commercial airlines and cargo services), and maritime transport (shipping and port operations).ⁱ The sector is essential to the economy, facilitating trade, enabling market access, and connecting industries and consumers globally.^{iv}

Market Size & Segmentation

As of 2024, the global transportation sector was valued at \$8.54 trillion USD,ⁱⁱ with a 10-year compound annual growth rate (CAGR) of 5.50%, based on the MSCI World Transportation Index.ⁱⁱⁱ Global freight distribution by weight is broken down as, 70% by water, 1% by air, 18% by road, 9% by rail.^{iv} For Canadian exports to the U.S., the breakdown is 54.2% by road, 18.7% by rail, 3.9% by marine, 5.7% by air, and 17.6% by other modes.^v

Top Competitors

- **Delta Airlines:** U.S. based airline that provides passenger and cargo air transportation services worldwide.
- **A.P. Møller – Mærsk:** Logistics and shipping company that provides container shipping, port operations, and supply chain management services.
- **CH Robinson Worldwide:** Logistics firm providing freight transportation, supply chain management, and third-party logistics services globally.
- **Canadian National Railway:** Operates freight rail services across Canada and the United States carrying key materials and commodities.

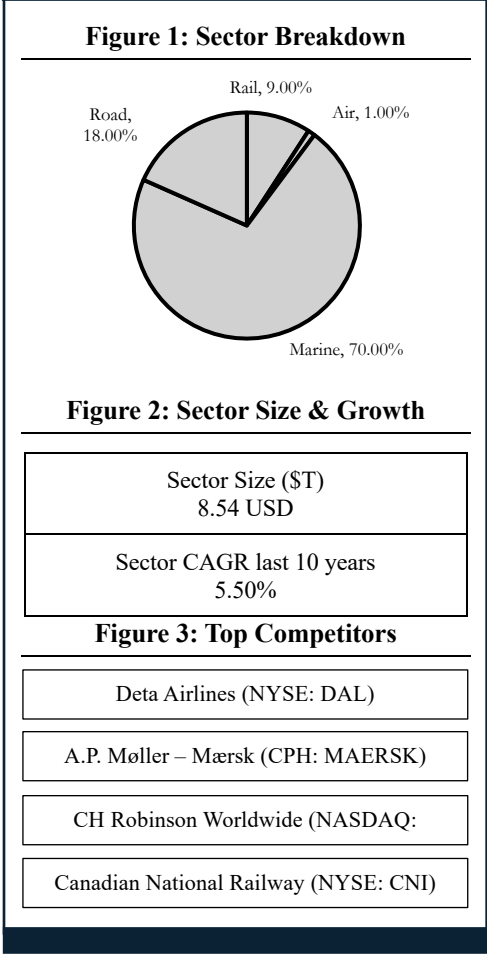
Market Drivers & Trends

Transportation Trends

Two major trends shaping the transportation industry are sustainability and digitization. Sustainability is driving a shift toward cleaner, more efficient transportation, as the sector accounts for over one-third of global CO₂ emissions. Electric vehicles, renewable energy, and fuel-efficient strategies are being increasingly adopted, particularly in regions with strong government incentives, reducing emissions and costs. Digitization is changing how transportation systems are designed and managed, leveraging technologies such as automation, data analytics, and smart logistics to enhance efficiency, safety, and service quality. For example, autonomous vehicles are projected to generate between USD \$300–\$400 billion in revenue by 2035, highlighting the potential of digital innovation.^{vi}

Macroeconomic & Policy Drivers

The transportation industry is highly cyclical and sensitive to geopolitical conditions. Economic growth increases demand for transportation, as higher production, trade, and consumer spending drive both freight and passenger travel. Oil prices have a strong impact on the sector, as fuel represents a significant portion of operating expenses.^{vii} The sector has benefited from oil prices being down over 11% on the year, due to an increase in global supply.^{viii} Geopolitical tensions, such as trade wars, tariffs or global conflicts disrupt supply chains, increase costs, and cause delays, with marine transportation being particularly sensitive.^{ix} Government regulation plays a key role in the industry, ensuring safety and efficiency, but new rules can be costly; for example, stricter requirements for commercial driver’s licenses can increase driver costs.ⁱ



Technology & Consumer Trends

The customer base for the global transportation industry includes both businesses and consumers involved in the movement of goods and passengers. Their behaviour is chiefly influenced by fuel prices, changes to transportation infrastructure, economic cycles, and global trade activity.^x Over the past decade the sector has grown steadily, with a global CAGR of 5.5%,^{xi} driven by increasing e-commerce activity, further globalization, and technological advances in general business admin automation, decreasing costs.^{xii}

Emerging Themes

As with many industries, the global transportation industry is quickly integrating artificial intelligence, resulting in increased efficiencies in fleet management, route optimization, and passenger-services.^{xiii} Firms such as Ventus AI offer automation platforms requiring little to no custom IT integration, often resulting in drastic improvements in efficiency.^{xiv} Sustainability-forward approaches are reshaping the sector. Broadly, AI-powered optimization and infrastructure investment is driving low-carbon solutions. Countries such as India and the UAE are investing in high-speed rail to replace short haul flights. Ship operators are leveraging AI data analytics to optimize vessel fuel consumption and decreased emissions.^{xv}

Capital Markets & M&A Activity

Recent M&A Transactions

In the first half of 2025, M&A activity in the global transportation industry has shown mixed signals. Volume in some segments remains steady while deal size and valuation multiples have softened. In Q1 2025 global transportation & logistics M&A deal volume declined roughly 19.5% year-on-year, from 133 deals in Q1 2024 to 107 deals in Q1 2025.^{xvi} One transaction has some drawn attention: announced on July 29th 2025, Union Pacific Corporation (UP) proposed to acquire Norfolk Southern Corporation (NS) in a cash plus share deal valued at approximately \$85 billion USD. The move would create the first coast-to-coast U.S. rail operator, and could pressure the two remaining American railroads, BNSF and CSX, to merge as well.^{xvii} Another notable deal is the acquisition of The Wheeling Corporation (owner of Wheeling & Lake Erie Railway Company) by FTAI Infrastructure for roughly \$1.05 billion USD, aimed at expanding FTAI's freight-rail infrastructure. The move is set to be completed in the third quarter of 2025.^{xviii}

Deal Drivers

M&A activity in the global transportation sector is being weighed down by uncertainty over US trade policy and shifting global supply-chain dynamics.^{xix} The threat of tariffs and resulting global trade uncertainty has complicated underwriting, increased risks for business engaged in cross-border transportation, and reduced appetites for buyers.^{xx} The aforementioned volatility is affecting smaller competitors most, forcing closures and asset sales. Large firms focussing on strengths will seek to offload underperforming segments. Despite this push for specialization, globally diversified firms will be set to preform best. U.S. tariffs and retaliation are increasing costs for importers and exporters alike and are being passed on to consumers. Companies with diverse global supply chain networks will find themselves uniquely able to weather these supply chain challenges. Companies looking to shore up their capabilities in this area will look to acquire firms specializing in international and cross-border services, driving M&A activity.^{xxi}

Capital Markets Activity

In the global transportation industry, the IPO market has recently shown pockets of strength despite macro headwinds: for example, Via Transportation Inc. a transit-technology firm, filed for a US-listing in September 2025. The company plans to list 10.7 million shares at \$44 USD a share, aiming to raise about \$471 million USD, targeting a valuation of nearly 3.5 billion USD.^{xxii} In the private equity space, the value of PE deals fell by 34% year-on-year to \$3.53 billion USD. Deal volume fell by 24.5% over the same time-period. Freight tech and software saw increased activity, with deal values rising to \$468 million USD in the second quarter of 2025, compared to \$159 million USD in the first quarter.^{xxiii} This decreased activity stems largely from global economic uncertainty fueled by the US trade war. Tariffs and subsequent retaliations have increased costs for firms in the space, lowering margins, and making acquisitions in the sector less enticing. The private credit landscape is uncertain, as BMO explores a potential divestiture from its \$11 billion USD stake in the sector.^{xxiv} The move provides both opportunity for other players, as smaller firms angle to acquire what BMO is set to leave behind, as well as increases general uncertainty for the industry.

Investment Outlook & Implications

Growth Forecast

As of 2024, the transportation sector was valued at \$8.54T and predicted to reach US\$18.63T in 2034. The industry is facing rapid and strong growth with a one-year CAGR of 8.1%.^{xxv} Drivers such as e-commerce and infrastructure development are becoming increasingly important due to the rise of global trades in Asia, technology, and AI.^{xxvi} Lastly, consumers impact air, freight, and road demand depending on a firm’s communication transparency, delivery costs, speed, and carbon footprint.^{xxvii}

Sector Risks:

- **Fuel Price:** Volatile fuel price reduces profit margins for transport firms.
- **Cybersecurity:** Data breaches interfere with logistic software and operations.
- **Geopolitical Conflicts:** Tensions can interfere with cross-border routings.
- **Natural Disasters:** Hazards can damage plants such as ports and terminals.

Investor Sentiment

Investor sentiment in the transportation industry is optimistic. Bloomberg analysts predict high growth in logistics, shipping, and railing segments through AI integration.^{xxviii} Some remain pessimistic due to recent U.S. politics and tariffs, predicting higher operational costs, logistic issues, and loss of clients. According to a survey of business leaders across Canada, 77% of respondents forecast a recession due to recent economic sanctions.^{xxix}

Public Equity Landscape

Delta Air Lines (NYSE: DAL)

Delta (DAL) is a leading American multinational airline with three key operational segments: passenger airline, cargo services, and Delta vacation.^{xxx} In August, the U.S. government ruled that Delta must lose antitrust protections with Grupo AeroMexico before January 2026, claiming they took carrier slots away from U.S. airlines.^{xxxi} This caused a decline in returns; Delta’s YTD return is at (6%) and their LTM is (0.22%). The firm has a market cap of US\$37.5B and a trailing PE ratio of 8.0x.

A.P. Møller (CPH: MAERSK-B.CO)

A.P. Møller is a Danish multinational enterprise segments into three key operating division: ocean, logistic services, and transportation. Its biggest section is the ocean, bringing US\$11.1B; over half their Q3 2025 revenues.^{xxxii} Although Q3 revenues declined by (9.9%), their US\$14.21M exceeded Bloomberg analyst’s US\$13.54M.^{xxxiii} This can be associated with their acquisition of the Svitzer, a Danish marine towage firm. Back in April and May, Moller acquired 93.4% of the capital and voting rights, giving them primary ownership of the company.^{xxxiv}

Figure 4: Sector Growth Forecast (\$T)

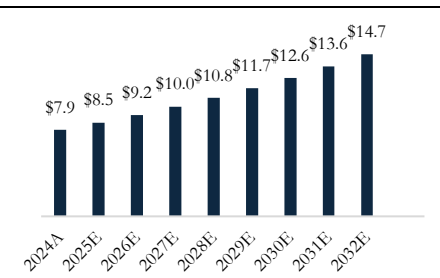


Figure 5: S&P 500 vs Transportation

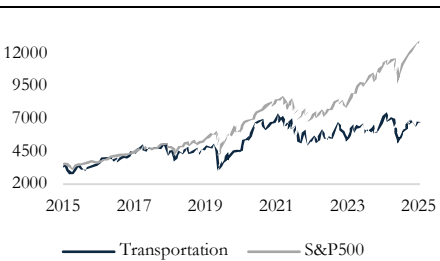


Figure 6: Fuel Prices (\$Per Gallon)

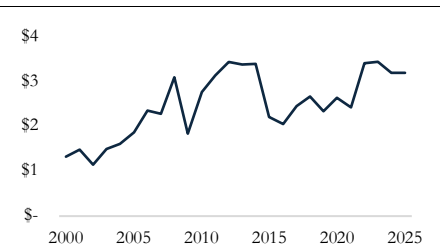


Figure 7: DAL LTM Stock Chart



Figure 8: Møller LTM Stock Chart



C.H. Robinson (NASDAQ: CHRW)

C.H. Robinson (CHRW) is a transportation logistics company, divided into two key operational segments. The first one being the North American Surface Transportation which, focuses on domestic trucking, air and supply chain transports. Global Forwarding is their international segment that specialized in marine and aviation shipping services.^{xxxv} Since June 2025, Robinson has deployed its own AI agent to automate logistics-related tasks. Leveraging AI resulted their stock rising by 20% overnight and a 49% YDT increase.^{xxxvi}

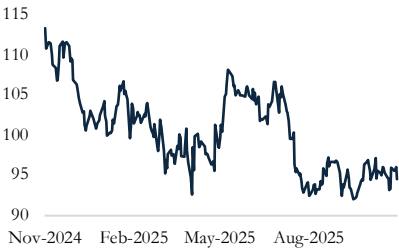
Canadian National Railway (TSE: CNR)

Canadian National Railway (CNR) is composed of seven key transportation segments: petroleum & chemicals, metals & minerals, forest products, coal, grains & fertilizers, intermodal and automotive. Agricultural transport makes almost quarter of their revenue total revenue (\$4.36B); \$1.04B.^{xxxvii} Despite having to lay off 400 managers due to US tariffs on steel, lumber and aluminum,^{xxxviii} the company had a strong Q3, with a 1% rise in revenue and 5% in net income.^{xxxix}

Figure 9: CHRW LTM Stock Chart



Figure 10: CNR LTM Stock Chart



Valuation Summary

Billions USD Except Per Share Amounts									
Company	Ticker	Price	Market Cap. (\$B)	Enterprise Value (\$B)	P/E	Enterprise Value		EBITDA Margin (%)	Debt EBITDA
						EBIT	EBITDA		
Air-Transport									
American Airlines	NASDAQ: AAL	\$13.13	\$8.7	\$29.9	14.4x	13.0x	6.6x	8%	6.3x
Delta Airlines	NYSE: DAL	\$57.38	\$37.5	\$48.6	8.1x	8.0x	5.7x	14%	1.7x
Air Canada	TSX: AC	\$13.13	\$4.5	\$9.8	4.1x	12.2x	4.6x	13%	4.0x
CargoJet	TSX: CJT	\$57.81	\$0.9	\$1.8	8.6x	17.4x	8.2x	30%	3.1x
Ocean Transport									
Matson	NYSE: MATX	\$107.90	\$3.4	\$3.7	8.0x	7.6x	5.7x	19%	0.6x
Costamare	NYSE: CMRE	\$13.50	\$1.6	\$2.7	4.8x	5.7x	5.1x	37%	3.9x
Hapag-Lloyd AG	XETRA: HLAG	\$67.40	\$11.8	\$12.2	7.1x	6.5x	2.8x	20%	1.6x
A.P. Møller	MAERSK-B.CO	\$9.90	\$29.4	\$41.1	4.7x	6.5x	3.4x	21%	1.4x
Freight Transport									
TFI International	TSE: TLI	\$87.08	\$7.4	\$10.3	20.0x	15.7x	8.9x	14%	4.5x
XPO	NYSE: XPO	\$139.88	\$16.4	\$19.4	47.4x	28.1x	16.4x	15%	2.9x
Schneider National	NYSE: SNDR	\$22.61	\$4.0	\$4.4	31.7x	23.9x	7.7x	10%	0.9x
CH Robinson Worldwide	NASDAQ: CHRW	\$128.00	\$15.6	\$16.6	29.1x	22.0x	19.4x	5%	1.6x
Rail Transport									
Canadian National Railway	TSX: CNR	\$95.00	\$59.8	\$80.8	13.1x	11.4x	9.0x	53%	1.6x
Canadian Pacific Kansas City	TSX: CP	\$70.89	\$66.1	\$88.3	15.8x	16.3x	12.0x	49%	2.1x
Union Pacific Railroad	NYSE: UNP	\$221.48	\$133.5	\$164.9	19.2x	16.8x	13.4x	50%	2.5x
Norfolk Southern	NYSE: NSC	\$284.25	\$64.3	\$80.1	19.2x	16.0x	12.6x	52%	2.7x
25th Percentile					7.8x	7.9x	5.5x	14%	1.6x
Mean					16.0x	14.2x	8.8x	26%	2.6x
Median					13.8x	14.4x	8.0x	20%	2.3x
75th Percentile					19.4x	16.9x	12.1x	40%	3.3x

Resources

ⁱ [Transportation Sector](#)
ⁱⁱ [Transportation Market](#)
ⁱⁱⁱ [Transportation Industry CAGR](#)
^{iv} [Logistics and Transportation](#)
^v [Road Transportation: Heavyweight of the Canadian Economy](#)
^{vi} [Transportation Mega Trends](#)
^{vii} [Canada Annual Transportation Report](#)
^{viii} [Crude Oil](#)
^{ix} [Global shipping: navigating the waves of geopolitics](#)
^x [Consumer Behaviour Influences](#)
^{xi} [Transportation Industry Growth](#)
^{xii} [Sector Growth Drivers](#)
^{xiii} [AI Integration](#)
^{xiv} [Ventus AI](#)
^{xv} [Sustainability Optimizations](#)
^{xvi} [Sector Deal Volumes and Values](#)
^{xvii} [UP Acquisition of NS](#)
^{xviii} [FTAI Acquisition of Wheeler Corp](#)
^{xix} [Sector M&A Overview](#)
^{xx} [Sector Tariff Impacts](#)
^{xxi} [Specialization, Diversification, Acquisition](#)
^{xxii} [Via Transportation IPO Details](#)
^{xxiii} [Sector Private Equity Landscape](#)
^{xxiv} [Sector Private Credit Landscape](#)
^{xxv} [Transportation Market](#)
^{xxvi} [Transportation Industry Market](#)
^{xxvii} [How Consumer Behavior and Expectations Can \(and Should\) Influence Your Transportation Strategy](#)
^{xxviii} [Hot Picks: Analyst sees opportunity in transportation stocks as efficiency improves](#)
^{xxix} [Impacts of US tariffs on Canada's transportation industry](#)
^{xxx} [Description of Delta Air Lines Inc's Business Segments](#)
^{xxxi} [U.S. Government Makes Major Move Against Delta Air Lines](#)
^{xxxii} [Maersk reports strong Q3 2025 results: EBITDA at USD 2.7bn, EBIT at USD 1.3bn amid operational gain](#)
^{xxxiii} [A.P. Möller-Maersk Beats Expectations and Raises Outlook](#)
^{xxxiv} [Update: AP Moller Holdings acquires Svitzer in return to private ownership](#)
^{xxxv} [Meet the C.H. Robinson leaders of today.](#)
^{xxxvi} [This logistics stock is already juicing profits with AI, way ahead of schedule](#)
^{xxxvii} [CN Announces Fourth Quarter and Year-End Results](#)
^{xxxviii} [CN Rail lays off some 400 managers as tariffs take a bite out of shipping volumes](#)
^{xxxix} [CN Delivers Strong Third Quarter Financial and Operating Results](#)